The Financial Support Team should work the First-time buyer 2019-21 book in 2027

Paper to the Credit Committee from Collections Analytics, for Aimee Atkinson, Head of Collections and Recoveries. 23 October 2026. Reference CC/2026/47, in answer to CC/2026/41.

1. Recommendation

Place the team on the First-time buyer 2019-21 book. On the plan's own terms (the borrowers whose account first reaches two payments in arrears during 2027, each taken on once, at the book's planning rate, with the team cutting the chance of possession by 15 per cent) it avoids about 10 possessions there, against fewer than 5 in High LTV 2022-24, the next best, and fewer than 5 each in Shared ownership and Buy to let.

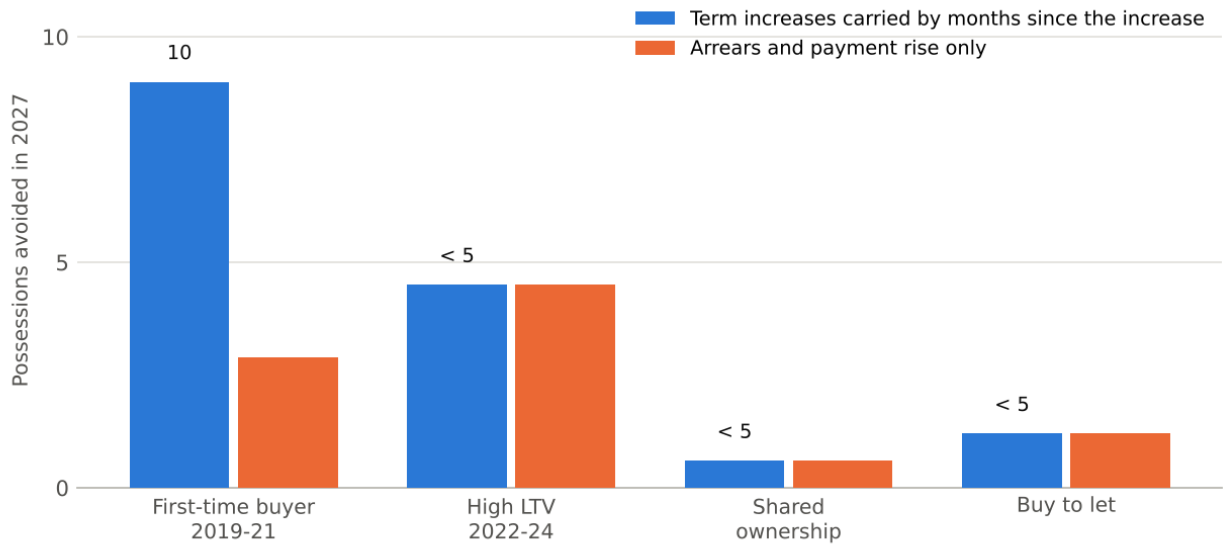
2. Why the first-time buyer book

Most of the book's 2021 lending came off its five-year fixed rates between January and June 2026. At the switch, 7,129 of the 16,455 accounts now on the book took a longer term under the Mortgage Charter, a median 10 years more, which held their payment rise to a median 10 per cent against 26 per cent for the borrowers on the book who kept their term. Almost all of them were up to date at 30 September 2026, and on their arrears and payment rise alone they look safer than the rest of the book.

Our own history says otherwise. Of the 347 accounts whose term was raised in 2024, 4 were two payments or more in arrears at one of the eight month ends after the month of the increase, and 81 at a month end after it up to 30 September 2026: the longer term keeps a stretched budget current for a while, then the arrears come. The 2026 extensions reach that point during 2027. Carried month by month on the chance the earlier extensions show by months since the increase, the first-time buyer book produces more borrowers newly two payments behind in 2027 than any other book, and at its planning rate that is where the team avoids the most possessions.

3. Possessions avoided by book

Book	Planning rate (plan, section 3)	Possessions avoided in 2027
First-time buyer 2019-21	4.5 per cent	about 10
High LTV 2022-24	7.4 per cent	fewer than 5
Shared ownership	1.9 per cent	fewer than 5
Buy to let	10.7 per cent	fewer than 5



Possessions avoided in 2027 by book, nearest ten (fewer than 5 marked <5): the forecast that carries each term increase by months since it (blue) and the same forecast on arrears and the payment rise at the last switch only (orange). Source: mortgage book and payment history at 30 September 2026; planning rates from CC/2026/41.

4. What the usual forecast would have said

The same arrears forecast without the term increase, reading each account's payment rise at its last switch, puts High LTV 2022-24 first at fewer than 5 possessions avoided, with the first-time buyer book well behind it. It reads the extended accounts' small payment rise as low risk, which is the one thing the 2024 extensions show it is not.

5. The recoveries position

The borrowers already in litigation stay with the recoveries team, and the workbook sets out the court work and the cost of a possession in each owner-occupied book. From October 2025 to September 2026 the courts made or varied 34 possession orders in the first-time buyer book, 71 in High LTV and 9 in Shared ownership, and at 30 September 2026 17, 43 and 2 claims were open. A possession sold in the same year cost an average of £4,500 in the first-time buyer book, £33,300 in High LTV and £3,300 in Shared ownership; all 24 of High LTV's sales fell short of the debt.

6. Basis

Records at 30 September 2026: the mortgage book, the monthly payment history since January 2019, the possession register, completed sales, LPA receiver appointments and the panel firms' litigation actions. Payments in arrears are the arrears balance over the current contractual payment, rounded down, at the month end (Arrears and Possessions Policy, section 2). The forecast fits the monthly moves between nought, one and two or more payments behind on January 2024 to August 2026, by book, the payment rise at the last switch and the months since a term increase (under 8, 8 to 15, 16 or more), leaving out the month an account closes, and carries the accounts on the book at 30 September 2026 that are not with the recoveries team through 2027, with no allowance for accounts that close, counting each account's first entry once. Possessions avoided are rounded to the nearest ten and losses to the nearest hundred pounds.